LESOTHO— EXTERNAL DEBT SUSTAINABILITY ANALYSIS[23]

In the view of Fund and IDA staffs, Lesotho presents a moderate risk of debt distress. Lesotho's external debt burden does not appear excessive, as its external debt indicators are projected to remain well below the relevant indicative thresholds. However, the debt sustainability analysis highlights the sensitivity to changes in exchange rates and in the terms of new borrowing, as well as to shocks affecting the country's narrow export base. In particular, a potentially risky scenario could emerge in the presence of persistent and severe shocks to garment exports.

The Debt Sustainability Analysis (DSA) focuses on external debt. Gross domestic public debt is relatively low, and projected to decline further over the medium term, from 8 percent of GDP at end-March 2005 to 3 percent by 2010. Moreover, net domestic debt is negative—at minus 4 percent of GDP, reflecting sizable government deposits.

External debt situation as of end-March 2005[24]

Lesotho's public and publicly guaranteed external debt as of end-March 2005 stood at US$721.6 million, equivalent to US$485 million in NPV terms (see Statistical Appendix Table 27.[25] Almost 80 percent of this debt was owed to multilateral creditors, mainly IDA (37 percent) and the African Development Bank (26 percent). The remainder of the debt is split between bilateral and commercial creditors (13 percent and 9 percent, respectively). Virtually all public and publicly guaranteed external debt is held by the Central Government, which has taken over the debt incurred by public entities.

Concerning private sector debt, only the obligations towards countries outside the Common Monetary Area (CMA) are recorded. At end-March 2005, these obligations were estimated at US$2.2 million.

Lesotho's nominal external debt as a share of GDP amounted to 53 percent at end 2004/05, continuing the declining trend observed in recent years. The share of external debt to GDP declined from 83 percent in 2002/03 to 63 percent in 2003/04. This reduction is owed to the combined effect of strong GDP growth, very limited government borrowing, and exchange rate appreciation. The

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[23] This analysis has been prepared jointly by IDA and IMF staffs using the framework for low-income countries approved by the Boards of both institutions. Debt figures for IDA, IMF and the African Development Bank were calculated using loan-by-loan data provided by these creditors. For the remaining creditors, aggregated data provided by the country authorities were used.

[24] Lesotho's fiscal year runs from April 1st to March 31st.

[25] The implicit grant-element of Lesotho's external debt (33 percent) evidences its highly concessional nature.

latter factor alone accounted for a 20 percentage points decline, with a 50 percent (average) appreciation relative to the U.S. dollar.

THE BASELINE SCENARIO

The macroeconomic assumptions underlying the baseline scenario are summarized in Box 1.

Box 1. Main assumptions under the baseline scenario

- Annual real GDP growth is assumed to increase gradually from about 2 percent during 2005/06-2009/10 to 4½ percent by the end of the projection period. The latter rate would be above the 3 percent average growth rate recorded over the past decade, reflecting the beneficial effects of implementation of the PRSP and other planned structural reforms.

- Inflation (as measured by the GDP deflator) is projected to stabilize slightly above 5 percent, broadly in line with experience in recent years.

- Following the slowdown in the growth of external trade during 2004/05-2007/8, imports and exports of goods and services and (private and public) transfers are assumed to grow in line with GDP (in dollar terms). FDI grows slightly more rapidly.

- The current account deficit (including official transfers) is determined by the above trends, rising to about 10 percent of GDP by 2006/07 and broadly remaining at this level thereafter.

- Net external public sector financing is assumed to rise to about 2 percent of GDP by the end of the current decade and then to stabilize at this level. Foreign grants are assumed to remain stable at about 2 percent of GDP over the projection period. New borrowing is projected to be contracted on highly concessional terms during the first half of the projection period; however, as the country reaches the threshold for eligibility under concessional windows of financing, it is assumed that the average grant element of new borrowing gradually decreases from 45 percent to 20 percent by the end of the projection period.

Private sector debt is projected to increase only marginally in terms of GDP, to 0.6 percent by 2023/24.

Lesotho is classified as a medium performer in terms of the quality of policies and institutions.[26] The indicative thresholds for the debt burden indicators for the countries falling into this category, proposed under the framework for low-income countries, are presented in Table 1.

Table 1. Lesotho: Relevant indicative thresholds for debt burden indicators (percent)

Ratio	Relevant threshold
NPV of debt to GDP	40
NPV of debt to Exports	150
NPV of debt to Revenue	250
Debt Service to Exports	20
Debt Service to Revenue	30

Under the baseline, all debt burden indicators remain below their relevant indicative thresholds. In addition, they stabilize at very low levels despite the deterioration of the terms of new borrowing assumed for the second half of the projection period. The NPV of debt-to-GDP ratio is projected to decline by about 12 percentage points, from 37 percent as of end 2004/05 to 25 percent by 2023/24. The significant drop of the ratio observed during the initial years reflects the schedule of repayment of existing non-concessional obligations, most of which were contracted to finance the Lesotho Highland Water Project (LWHP). This is mirrored in the evolution of the debt service-to-exports ratio that increases sharply to 12 percent in 2005/06 and declines steadily thereafter to reach about 3 percent by the end of the projection period. Reflecting the adverse impact of the shocks to garment exports, the NPV of debt-to-exports ratio increases from 67 percent in 2004/05 to 70 percent in 2005/6. The ratio then follows a gradual decline to 54 percent by 2023/24. Notwithstanding the shock, the ratio remains well below the indicative threshold of 150 percent.

SENSITIVITY ANALYSIS

The standard stress tests illustrate Lesotho's vulnerability to exchange rate changes and to changes in the terms of financing. However, the debt burden indicators do not breach the relevant thresholds under any of them. In modeling the standard historical scenario,[27] the current account was set to equal its past level excluding transactions relating to the LHWP, as this project had entailed large imports that are not part of Lesotho's regular trade pattern. The results under this scenario are

[26] This classification is based on the latest World Bank's Country Policy and Institutional Assessment.

[27] Where the key variables are assumed to remain at their historical average.

somewhat more positive than the baseline, highlighting the prudence of the baseline assumptions compared to the country's historical performance. Under the financing scenario,[28] all debt burden indicators deteriorate without, however, showing an explosive behavior. The impact of a large depreciation or devaluation is visible in the third and the sixth bound tests. In the latter scenario, corresponding to a 30 percent nominal depreciation, the NPV of debt-to-GDP ratio would exceed to the 40 percent indicative threshold during most of the projection period (this exercise does not assume any resultant boost to exports and growth, however).[29]

An additional test added to the standard battery of tests illustrates the vulnerability to shocks affecting the country's narrow export base.[30] The additional test assumes that the expansion of textile exports since 1999 based on the United States' African Growth and Opportunity Act (AGOA) would be entirely reversed as of 2006/07. Under this scenario, the export to GDP ratio is assumed to return to its 1999 level (falling from 60 to 22 percent), the test also incorporates the resultant decline in GDP. In this—extreme—scenario, all debt indicators would climb to levels above the indicative thresholds, with the NPV of debt-to-export ratio peaking at more than 200 percent in 2007/08.

STAFFS ASSESSMENT

Based on the findings of this DSA, staffs are of the view that Lesotho faces a moderate risk of debt distress. Under the baseline scenario, all debt burden indicators are expected to remain below the relevant policy-indicative thresholds. Stress tests, based on the country's historical volatility, do not indicate any breach of the thresholds. However, persistent and particularly severe shocks on the country's narrow export base could increase the country's risk of debt distress to unacceptable levels.

The results of the DSA highlight the need for the authorities to implement sound macroeconomic policies and structural reforms to materialize the assumptions predicated under the baseline. Particular emphasis should be given to widening Lesotho's export base, strengthening its repayment capacity and reducing its vulnerability to shocks.

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[28] Which assumes less favorable terms for new borrowing relative to the baseline.

[29] Standard bound tests under this framework have been calibrated to represent a 25 percent probability of occurrence ten years after the shock on the variables is assumed.

[30] Test B7 in Table 1b.

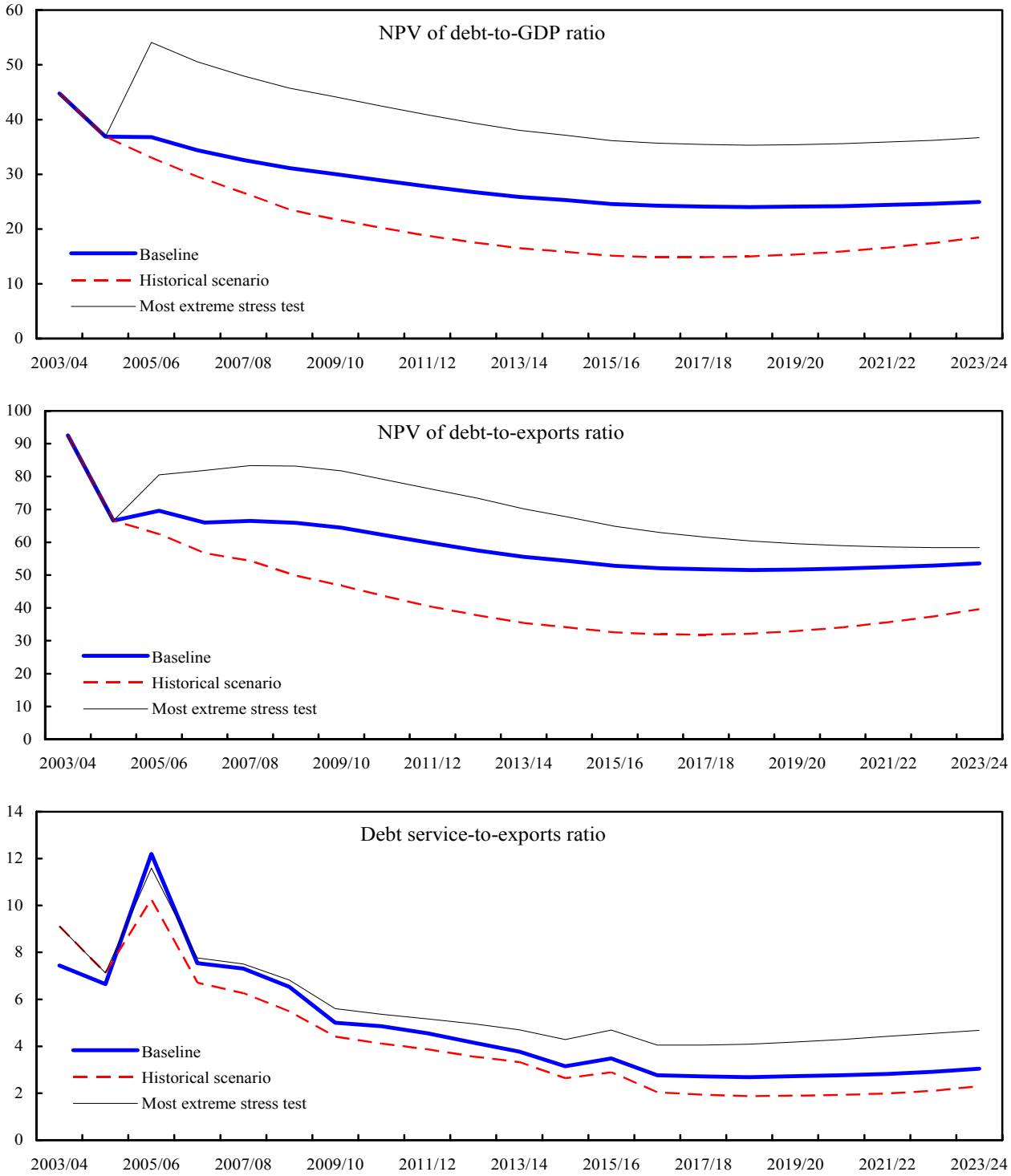
Table 1a. Lesotho External Debt Sustainability Framework, Baseline Scenario, 2000-2023 1/
(In percent of GDP, unless otherwise indicated)

	Actual					Historical Average 6/	Standard Deviation 6/	Projections								
	2000/01	2001/02	2002/03	2003/04	2004/05			2005/06	2006/07	2007/08	2008/09	2009/10	2005-10 Average	2013/14	2023/24	2010-24 Average
External debt (nominal) 1/	**70.5**	**78.4**	**82.7**	**62.9**	**53.3**			**54.6**	**52.1**	**50.3**	**48.5**	**47.2**		**41.3**	**34.6**	
o/w public and publicly guaranteed (PPG)	70.2	78.1	82.5	62.7	53.1			54.4	51.9	50.1	48.3	47.0		41.0	34.2	
Change in external debt	1.1	7.8	4.3	-19.8	-9.6			1.3	-2.5	-1.8	-1.8	-1.3		-1.4	-0.5	
Identified net debt-creating flows	22.1	22.9	8.0	-19.8	-11.2			1.4	3.0	2.9	3.9	2.5		1.6	1.3	
Non-interest current account deficit	**16.3**	**12.2**	**17.0**	**9.6**	**2.0**	**19.3**	**9.9**	**5.7**	**8.6**	**8.8**	**10.0**	**9.1**		**9.2**	**9.1**	9.2
Excl. LHWP	8.4	4.0	11.9	5.2	-0.4	5.8	4.6	7.2	10.1	10.3	11.5	10.6		10.7	10.6	10.7
Deficit in balance of goods and services	59.4	54.0	58.7	50.0	47.5			55.3	52.5	51.7	51.2	48.3		48.3	48.3	
Exports	31.8	46.4	54.1	48.4	55.4			52.8	52.1	49.0	47.3	46.6		46.6	46.6	
Imports	91.2	100.4	112.8	98.4	102.8			108.1	104.6	100.8	98.4	94.9		94.9	94.9	
Net current transfers (negative = inflow)	-15.3	-17.2	-17.2	-15.7	-20.4	-18.0	2.3	-23.0	-18.0	-17.8	-16.9	-15.9		-15.9	-15.9	-15.9
Other current account flows (negative = net inflow)	-27.8	-24.6	-24.6	-24.7	-25.1			-26.6	-25.9	-25.1	-24.3	-23.3		-23.2	-23.3	
Net FDI (negative = inflow)	**-3.7**	**-3.7**	**-3.9**	**-3.9**	**-4.1**	**-3.5**	**0.5**	**-5.8**	**-5.2**	**-5.8**	**-5.8**	**-6.1**		**-6.4**	**-7.0**	-6.6
Endogenous debt dynamics 2/	**9.5**	**14.4**	**-5.1**	**-25.5**	**-9.0**			**1.5**	**-0.3**	**-0.1**	**-0.3**	**-0.5**		**-1.2**	**-0.8**	
Contribution from nominal interest rate	2.5	1.9	1.6	1.1	0.9			1.1	0.8	0.7	0.7	0.6		0.5	0.6	
Contribution from real GDP growth	-1.2	-2.4	-2.3	-1.8	-1.1			0.4	-1.1	-0.8	-1.0	-1.1		-1.8	-1.5	
Contribution from price and exchange rate changes	8.2	14.8	-4.4	-24.8	-8.8			…	…	…	…	…		…	…	
Residual (3-4) 3/	**-21.0**	**-15.0**	**-3.7**	**0.0**	**1.6**			**-0.1**	**-5.5**	**-4.8**	**-5.7**	**-3.8**		**-3.0**	**-1.7**	
o/w exceptional financing	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0		0.0	0.0	
NPV of external debt 4/	...	...	69.3	45.0	37.0			36.9	34.6	32.8	31.3	30.2		26.1	25.3	
In percent of exports	...	...	128.1	92.9	66.9			69.9	66.3	66.9	66.3	64.9		56.0	54.4	
NPV of PPG external debt	**...**	**...**	**69.1**	**44.8**	**36.9**			**36.8**	**34.4**	**32.6**	**31.1**	**30.0**		**25.9**	**25.0**	
In percent of exports	...	...	127.8	92.6	66.6			69.6	66.0	66.5	65.9	64.5		55.5	53.6	
Debt service-to-exports ratio (in percent)	27.2	12.4	8.7	7.5	6.9			12.5	7.9	7.6	6.8	5.3		4.1	3.6	
PPG debt service-to-exports ratio (in percent)	27.0	12.3	8.5	7.4	6.6			12.2	7.5	7.3	6.5	5.0		3.8	3.0	
Total gross financing need (billions of U.S. dollars)	178.0	101.2	138.1	107.1	22.3			83.1	98.9	94.4	108.8	84.0		96.8	169.1	
Non-interest current account deficit that stabilizes debt ratio	15.2	4.3	12.7	29.4	11.6			4.4	11.0	10.6	11.8	10.4		10.6	9.5	
Key macroeconomic assumptions																
Real GDP growth (in percent)	1.6	2.8	3.2	3.3	2.0	2.8	3.5	-0.7	2.2	1.7	2.1	2.5	1.5	4.5	4.5	4.3
GDP deflator in US dollar terms (change in percent)	-10.5	-17.4	6.0	42.8	16.3	3.1	17.5	-6.2	2.8	2.7	3.0	3.3	1.1	3.4	3.4	3.4
Effective interest rate (percent) 5/	3.3	2.3	2.2	2.1	1.7	2.4	0.5	1.8	1.6	1.4	1.4	1.4	1.5	1.3	2.0	1.5
Growth of exports of G&S (US dollar terms, in percent)	13.5	24.1	27.4	32.0	35.7	16.0	16.6	-11.1	3.6	-1.7	1.3	4.3	-0.7	8.1	8.1	7.9
Growth of imports of G&S (US dollar terms, in percent)	-9.7	-6.5	22.9	28.7	24.0	5.4	17.0	-2.1	1.6	0.6	2.7	2.0	1.0	8.1	8.1	7.9
Grant element of new public sector borrowing (in percent)	...	...	...	...	46.0	...	...	50.1	49.5	49.5	49.6	49.5	49.6	44.1	14.9	33.8
Memorandum item:																
Nominal GDP (millions of US dollars)	835.1	709.6	776.2	1144.7	1358.6			1265.5	1329.0	1388.0	1458.9	1544.1		2047.4	4455.5	

Source: Staff simulations.

1/ Includes both public and private sector external debt.
2/ Derived as $[r - g - \rho(1+g)]/(1+g+\rho+g\rho)$ times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Assumes that NPV of private sector debt is equivalent to its face value.
5/ Current-year interest payments divided by previous period debt stock.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

DSA Figure 1. Lesotho Indicators of Public and Publicly Guaranteed External Debt
Under Alternative Scenarios, 2003-2023
(In percent)



Source: Staff projections and simulations.

Table 1b. Lesotho Sensitivity Analyses for Key Indicators of Public and Publicly Guaranteed External Debt, 2004-2023
(In percent)

	Projections						
	2 2004/05	2005/06	2006/07	2007/08	2008/09	**2013/14**	2023/24
NPV of debt-to-GDP ratio							
Baseline	37	37	34	33	31	**26**	25
A. Alternative Scenarios							
A1. Key variables at their historical averages in 2004-23 1/	37	33	30	27	24	**17**	18
A2. New public sector loans on less favorable terms in 2004-23 2/	37	37	36	35	34	**32**	35
B. Bound Tests							
B1. Real GDP growth at historical average minus one standard deviation in 2004-05	37	37	35	33	32	**26**	25
B2. Export value growth at historical average minus one standard deviation in 2004-05 3/	37	33	31	29	28	**23**	24
B3. US dollar GDP deflator at historical average minus one standard deviation in 2004-05	37	40	45	42	41	**34**	32
B4. Net non-debt creating flows at historical average minus one standard deviation in 2004-05 4/	37	43	43	41	39	**33**	27
B5. Combination of B1-B4 using one-half standard deviation shocks	37	33	35	33	31	**26**	26
B6. One-time 30 percent nominal depreciation relative to the baseline in 2004 5/	37	54	51	48	46	**38**	37
B7. Loss of trade preferences (export ratio returning in 2005 to 1999 level) 6/	37	53	50	48	45	**37**	32
NPV of debt-to-exports ratio							
Baseline	67	70	66	67	66	**56**	54
A. Alternative Scenarios							
A1. Key variables at their historical averages in 2004-23 1/	67	63	57	54	50	**35**	40
A2. New public sector loans on less favorable terms in 2004-23 2/	67	71	69	71	72	**68**	74
B. Bound Tests							
B1. Real GDP growth at historical average minus one standard deviation in 2004-05	67	70	66	67	66	**56**	54
B2. Export value growth at historical average minus one standard deviation in 2004-05 3/	67	56	55	55	54	**46**	48
B3. US dollar GDP deflator at historical average minus one standard deviation in 2004-05	67	70	66	67	66	**56**	54
B4. Net non-debt creating flows at historical average minus one standard deviation in 2004-05 4/	67	81	82	83	83	**70**	58
B5. Combination of B1-B4 using one-half standard deviation shocks	67	52	49	49	49	**41**	42
B6. One-time 30 percent nominal depreciation relative to the baseline in 2004 5/	67	70	66	67	66	**56**	54
B7. Loss of trade preferences (export ratio returning in 2005 to 1999 level) 6/	67	101	199	202	200	**163**	142
Debt service ratio							
Baseline	7	12	8	7	7	**4**	3
A. Alternative Scenarios							
A1. Key variables at their historical averages in 2004-23 1/	7	10	7	6	5	**3**	2
A2. New public sector loans on less favorable terms in 2004-23 2/	7	12	8	8	7	**5**	5
B. Bound Tests							
B1. Real GDP growth at historical average minus one standard deviation in 2004-05	7	12	8	7	6	**4**	3
B2. Export value growth at historical average minus one standard deviation in 2004-05 3/	7	10	7	7	6	**3**	3
B3. US dollar GDP deflator at historical average minus one standard deviation in 2004-05	7	12	8	7	6	**4**	3
B4. Net non-debt creating flows at historical average minus one standard deviation in 2004-05 4/	7	12	8	8	7	**5**	4
B5. Combination of B1-B4 using one-half standard deviation shocks	7	10	6	6	5	**3**	2
B6. One-time 30 percent nominal depreciation relative to the baseline in 2004 5/	7	12	8	7	6	**4**	3
B7. Loss of trade preferences (export ratio returning in 2005 to 1999 level) 6/	7	34	22	21	19	**11**	9
Memorandum item:							
Grant element assumed on residual financing (i.e., financing required above baseline) 7/	42	42	42	42	42	**42**	42

Source: Staff projections and simulations.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ This test was added for Lesotho, and is not part of the standard set of bound tests.
7/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Statement by the IMF Staff Representative
September 19, 2005

The following information has become available since issuance of the staff report on August 18, 2005. The thrust of the staff's assessment remains unchanged.

- Consumer price inflation fell to 3.1 percent in June 2005, about 0.5 percentage points lower than the inflation rate at end March, 2005.

- The loti exchange rate against the US dollar moved from 6.65 at the end of June to 6.3 in the first week of September, moderating the exchange rate depreciation of the first half of 2005. The effective yield on treasury bills declined further, from 7.7 percent in March to 6.9 percent in June, while the savings deposit rate remained unchanged during the period.

- Gross international reserves rose from US$508 million, representing 4.5 months of import coverage at end-March, to US$548 million at end-June, representing 4.8 months of import coverage.

- The signing of the Millennium Challenge Corporation (MCC) compact in July was followed by the launching, in September, of feasibility studies for the various programs and projects envisaged under the compact.